

EVG1024 - Margaret "Peggy" Abernathy - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

|                         |                                                                                                                                                                                                                                                                   |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Taxpayer                | Margaret A. Abernathy (XXX-XX-6318)                                                                                                                                                                                                                               |
| Address                 | 2180 Gulf Shore Blvd N, Unit 504, Naples, FL 34102                                                                                                                                                                                                                |
| Filing status           | Single                                                                                                                                                                                                                                                            |
| Dependents              | None                                                                                                                                                                                                                                                              |
| Digital assets question | No                                                                                                                                                                                                                                                                |
| Forms included          | 1040, Schedules 1, 2, A, B (Part III line 8: Yes - distribution from a foreign trust), D, Form 8949, Form 4797, Form 982, Form 8960, Form 8938; statements: IRC 691(c), worthless stock / 1244, foreign trust character. Separately: Form 3520 (paper, IRS Ogden) |
| Extension               | Form 4868 filed 04/13/2026 with \$1,500 payment                                                                                                                                                                                                                   |
| State                   | None - Florida has no individual income tax                                                                                                                                                                                                                       |
| Filing method           | E-file 1040 (8879 signed 09/16/2026), accepted 09/18/2026; Form 3520 mailed 09/21/2026 (certified); refund by direct deposit Gulf Coast Community Bank ****2207                                                                                                   |

| Key figures                                  | Amount  |
|----------------------------------------------|---------|
| Total income (1040 line 9)                   | 222,041 |
| Adjusted gross income (line 11)              | 222,041 |
| Deduction (line 12e) - Itemized (Schedule A) | 82,115  |
| QBI deduction (line 13a)                     | 0       |
| Schedule 1-A deductions (line 13b)           | 0       |
| Taxable income (line 15)                     | 139,926 |
| Total tax (line 24)                          | 23,736  |
| Total payments (line 33)                     | 24,700  |
| REFUND (line 35a)                            | 964     |

## Form 1040

| Line | Description                                                          | Amount   |
|------|----------------------------------------------------------------------|----------|
| 1a   | Total amount from Form(s) W-2, box 1                                 | 70,000   |
| 1b   | Household employee wages not reported on Form(s) W-2                 | 0        |
| 1c   | Tip income not reported on line 1a (Form 4137)                       | 0        |
| 1e   | Taxable dependent care benefits (Form 2441, line 26)                 | 0        |
| 1h   | Other earned income                                                  | 0        |
| 1z   | Add lines 1a through 1h                                              | 70,000   |
| 2a   | Tax-exempt interest                                                  | 0        |
| 2b   | Taxable interest                                                     | 15,041   |
| 3a   | Qualified dividends                                                  | 40,000   |
| 3b   | Ordinary dividends                                                   | 40,000   |
| 4a   | IRA distributions                                                    | 150,000  |
| 4b   | IRA distributions - taxable amount                                   | 150,000  |
| 5a   | Pensions and annuities                                               | 63,120   |
| 5b   | Pensions and annuities - taxable amount                              | 0        |
| 6a   | Social security benefits                                             | 0        |
| 6b   | Social security benefits - taxable amount                            | 0        |
| 7    | Capital gain or (loss) (Schedule D)                                  | (3,000)  |
| 8    | Additional income from Schedule 1, line 10                           | (50,000) |
| 9    | Total income                                                         | 222,041  |
| 10   | Adjustments to income from Schedule 1, line 26                       | 0        |
| 11   | Adjusted gross income                                                | 222,041  |
| 12e  | Standard deduction or itemized deductions (Itemized (Schedule A))    | 82,115   |
| 13a  | Qualified business income deduction (Form 8995/8995-A)               | 0        |
| 13b  | Additional deductions from Schedule 1-A, line 38                     | 0        |
| 14   | Add lines 12e, 13a, and 13b                                          | 82,115   |
| 15   | Taxable income                                                       | 139,926  |
| 16   | Tax                                                                  | 22,898   |
| 17   | Amount from Schedule 2, line 3                                       | 0        |
| 18   | Add lines 16 and 17                                                  | 22,898   |
| 19   | Child tax credit / credit for other dependents (Schedule 8812)       | 0        |
| 20   | Amount from Schedule 3, line 8                                       | 0        |
| 21   | Add lines 19 and 20                                                  | 0        |
| 22   | Subtract line 21 from line 18                                        | 22,898   |
| 23   | Other taxes, including self-employment tax, from Schedule 2, line 21 | 838      |
| 24   | Total tax                                                            | 23,736   |
| 25a  | Federal income tax withheld - Form(s) W-2                            | 8,200    |
| 25b  | Federal income tax withheld - Form(s) 1099                           | 15,000   |
| 25c  | Federal income tax withheld - other forms (incl. Form 8959 line 24)  | 0        |
| 25d  | Total withholding                                                    | 23,200   |
| 26   | 2025 estimated tax payments and amount applied from 2024 return      | 0        |
| 27a  | Earned income credit (EIC)                                           | 0        |

| Line | Description                                                  | Amount |
|------|--------------------------------------------------------------|--------|
| 28   | Additional child tax credit (Schedule 8812)                  | 0      |
| 29   | American opportunity credit - refundable (Form 8863, line 8) | 0      |
| 31   | Amount from Schedule 3, line 15                              | 1,500  |
| 32   | Total other payments and refundable credits                  | 1,500  |
| 33   | Total payments                                               | 24,700 |
| 34   | Amount overpaid                                              | 964    |
| 35a  | Refund                                                       | 964    |
| 37   | Amount you owe                                               | 0      |
| 38   | Estimated tax penalty (Form 2210)                            | 0      |

## Schedule B

| Line | Description                                                                                                 | Amount |
|------|-------------------------------------------------------------------------------------------------------------|--------|
| 1.1  | Gulf Coast Community Bank                                                                                   | 41     |
| 1.2  | Hale Family Settlement (Jersey foreign trust) - interest per Foreign Nongrantor Trust Beneficiary Statement | 15,000 |
| 2    | Total interest                                                                                              | 15,041 |
| 4    | Taxable interest (to Form 1040, line 2b)                                                                    | 15,041 |
| 5.1  | Hale Family Settlement (Jersey foreign trust) - UK-company dividends per FNTBS (qualified)                  | 40,000 |
| 6    | Ordinary dividends (to Form 1040, line 3b)                                                                  | 40,000 |
| 7a   | Foreign financial account at any time in 2025? / FBAR required?                                             | No     |
| 8    | Grantor of / transferor to a foreign trust?                                                                 | Yes    |

## Form 8949 (Box F)

| Line | Description                                                                                                                                                                                                                        | Amount    |
|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|
| 1    | Brightline Analytics, Inc. - 1,500,000 sh common - WORTHLESS (IRC 165(g)(1)); cost 150,000 less 50,000 claimed as IRC 1244 ordinary loss on Form 4797   acq 06/12/2019   sold 12/31/2025   proceeds 0   basis 100,000   code adj 0 | (100,000) |

## Schedule D

| Line     | Description                                                      | Amount    |
|----------|------------------------------------------------------------------|-----------|
| 7        | Net short-term capital gain or (loss)                            | 0         |
| LT box F | Long-term from Form 8949 box F (proceeds 0; cost 100,000; adj 0) | (100,000) |
| 12       | Net long-term gain/(loss) from Schedules K-1                     | 30,000    |
| 15       | Net long-term capital gain or (loss)                             | (70,000)  |
| 16       | Combine lines 7 and 15                                           | (70,000)  |
| 21       | Allowable capital loss                                           | (3,000)   |

## Schedule 1

| Line | Description                              | Amount   |
|------|------------------------------------------|----------|
| 4    | Other gains or (losses) - Form 4797      | (50,000) |
| 10   | Additional income (to Form 1040, line 8) | (50,000) |

Schedule A

| Line | Description                                                                             | Amount |
|------|-----------------------------------------------------------------------------------------|--------|
| 1    | Medical and dental expenses                                                             | 0      |
| 3    | 7.5% of AGI                                                                             | 16,653 |
| 4    | Deductible medical                                                                      | 0      |
| 5a   | General sales taxes                                                                     | 1,412  |
| 5b   | State and local real estate taxes                                                       | 3,915  |
| 5c   | State and local personal property taxes                                                 | 0      |
| 5d   | Add lines 5a through 5c                                                                 | 5,327  |
| 5e   | Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)                       | 5,327  |
| 7    | Total taxes                                                                             | 5,327  |
| 8a   | Home mortgage interest and points reported on Form 1098                                 | 14,288 |
| 8e   | Add lines 8a through 8c                                                                 | 14,288 |
| 10   | Total interest                                                                          | 14,288 |
| 11   | Gifts by cash or check                                                                  | 2,500  |
| 12   | Other than by cash or check                                                             | 0      |
| 14   | Total gifts to charity                                                                  | 2,500  |
| 16   | Federal estate tax on income in respect of a decedent (IRC 691(c)) - statement attached | 60,000 |
| 17   | Total itemized deductions                                                               | 82,115 |

Form 8960

| Line  | Description                         | Amount |
|-------|-------------------------------------|--------|
| 8     | Total investment income             | 52,041 |
| 12    | Net investment income               | 52,041 |
| 13-16 | MAGI 222,041 over threshold 200,000 | 22,041 |
| 17    | Net investment income tax           | 838    |

Schedule 2

| Line | Description                               | Amount |
|------|-------------------------------------------|--------|
| 12   | Net investment income tax (Form 8960)     | 838    |
| 21   | Total other taxes (to Form 1040, line 23) | 838    |

Schedule 3

| Line | Description                                                         | Amount |
|------|---------------------------------------------------------------------|--------|
| 10   | Amount paid with request for extension to file (Form 4868)          | 1,500  |
| 15   | Total other payments and refundable credits (to Form 1040, line 31) | 1,500  |

Form 4797 Part II - IRC 1244 ordinary loss

| Form 4797 Part II - Ordinary gains and losses (line 10)                                                                                                   | Amount   |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| Brightline Analytics, Inc. common stock - IRC 1244 loss (acquired 06/12/2019 at original issuance for cash; worthless 2025 - dissolved, no distributions) | (50,000) |

| Form 4797 Part II - Ordinary gains and losses (line 10)                                                                                                                                                                   | Amount   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| Limit: \$50,000 (single). Corporation was a domestic small business corporation (capital received <= \$1,000,000 when issued); > 50% of gross receipts from active software subscriptions for the 5 years before the loss |          |
| Excess of basis over the 1244 limit -> Form 8949 box F (capital) - see Schedule D                                                                                                                                         | 100,000  |
| Line 18b / Schedule 1 line 4                                                                                                                                                                                              | (50,000) |

## Insolvency worksheet (Form 982 support)

| Insolvency worksheet - immediately before discharge (03/17/2025)                                                                    | FMV / balance |
|-------------------------------------------------------------------------------------------------------------------------------------|---------------|
| Condominium, 2180 Gulf Shore Blvd N #504 (broker CMA 03/2025)                                                                       | 288,000       |
| Brightline Analytics, Inc. 401(k) - Fidelity (03/14/2025 statement) - INCLUDED (Carlson, 116 T.C. 87)                               | 62,400        |
| Checking + savings - Gulf Coast Community Bank (03/17/2025)                                                                         | 4,350         |
| 2019 Subaru Outback (KBB private-party value)                                                                                       | 14,500        |
| Household furniture and furnishings (garage-sale value)                                                                             | 5,000         |
| Jewelry (appraisal 2023, rolled forward)                                                                                            | 2,750         |
| Brightline Analytics, Inc. stock (operations ceased 01/2025; dissolution plan adopted 02/10/2025)                                   | 0             |
| Discretionary interest - Hale Family Settlement (no enforceable right to distributions at 03/2025) - see note                       | 0             |
| Total assets                                                                                                                        | 377,000       |
| Mortgage - Suncoast Home Lending (payoff statement 03/2025)                                                                         | 274,600       |
| Citibank Double Cash ****7781 (the settled card)                                                                                    | 52,400        |
| American Express ****1009                                                                                                           | 6,100         |
| Auto loan - Gulf Coast Community Bank (Subaru)                                                                                      | 21,700        |
| Federal student loans - MOHELA (MBA)                                                                                                | 38,300        |
| Loan from brother (Daniel Abernathy) - signed promissory note 2024                                                                  | 12,000        |
| LightStream personal loan (\$15,000) + NCH Healthcare medical bills (\$4,900)                                                       | 19,900        |
| Total liabilities                                                                                                                   | 425,000       |
| Insolvency (liabilities - assets)                                                                                                   | 48,000        |
| 1099-C amount                                                                                                                       | 38,000        |
| Excluded (lesser of COD or insolvency)                                                                                              | 38,000        |
| Taxable COD income                                                                                                                  | 0             |
| Not counted: inherited IRA (father died 07/14/2025 - after the discharge); balances at 12/31/2025 (client draft) are the wrong date |               |

## Form 982 - exclusion and attribute reduction

| Form 982 - Reduction of Tax Attributes Due to Discharge of Indebtedness                       | Amount |
|-----------------------------------------------------------------------------------------------|--------|
| Line 1b - Discharge of indebtedness to the extent insolvent (not in a title 11 case)          | X      |
| Line 2 - Total amount of discharged indebtedness excluded from gross income (Citibank 1099-C) | 38,000 |

| Form 982 - Reduction of Tax Attributes Due to Discharge of Indebtedness                                                                                                      | Amount |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| Line 9 - Applied to reduce net capital loss for 2025 and capital loss carryovers to 2025 (verify line number in current revision)                                            | 38,000 |
| All other Part II lines (NOL, credits, basis, passive, FTC)                                                                                                                  | 0      |
| Reduction is made AFTER the 2025 tax is determined (IRC 108(b)(4)(A)): the 2025 \$3,000 capital loss deduction is unaffected; the 2026 carryover falls from 67,000 to 29,000 |        |

### Statement - capital loss carryover after attribute reduction

| Capital loss carryover to 2026 (after IRC 108(b) reduction)             | ST | LT       | Total    |
|-------------------------------------------------------------------------|----|----------|----------|
| Schedule D 2025: net ST / net LT                                        | 0  | (70,000) | (70,000) |
| Allowed in 2025 (line 21)                                               | 0  | (3,000)  | (3,000)  |
| Carryover before attribute reduction (Capital Loss Carryover Worksheet) | 0  | 67,000   | 67,000   |
| Form 982 line 9 reduction                                               | 0  | (38,000) | (38,000) |
| Carryover to 2026 - enter as override in 2026 proforma                  | 0  | 29,000   | 29,000   |

### Statement - IRC 691(c) deduction (Schedule A line 16)

| IRC 691(c) deduction - Schedule A line 16                                            | Amount    |
|--------------------------------------------------------------------------------------|-----------|
| Federal estate tax (Form 706)                                                        | 1,764,000 |
| Federal estate tax without the IRA                                                   | 804,000   |
| Estate tax attributable to IRD                                                       | 960,000   |
| Total IRD in the estate (IRA)                                                        | 2,400,000 |
| IRD included in Peggy's 2025 income (1099-R code 4)                                  | 150,000   |
| Deduction = $960,000 \times 150,000 / 2,400,000$                                     | 60,000    |
| Connecticut estate tax - not included (IRC 691(c) uses federal estate tax only)      | 0         |
| Not a miscellaneous itemized deduction (IRC 67(b)(7)) - no 2% floor / not suspended  |           |
| Remaining 691(c) pool for Peggy's future withdrawals: $960,000 \times 50\% - 60,000$ | 420,000   |

### Form 8938 - Statement of Specified Foreign Financial Assets

| Form 8938 (single, living in the U.S.: > \$50,000 at year end or > \$75,000 at any time)        | Detail                                                                                                        |
|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Specified foreign financial asset                                                               | Beneficial interest in the Hale Family Settlement (foreign trust)                                             |
| Value for threshold (Reg. 1.6038D-5(f)): distributions received in 2025 (no mandatory interest) | \$120,000                                                                                                     |
| Part IV - excepted (duplicative reporting, Reg. 1.6038D-7): reported on Form 3520               | Number of Forms 3520: 1                                                                                       |
| FBAR                                                                                            | Not required - no foreign financial account; a discretionary beneficiary does not report the trust's accounts |

### Form 3520 Part III - foreign trust distribution (filed separately, not part of e-file)

| Form 3520 Part III - distributions to a U.S. person from a foreign trust (filed separately) | Detail                                                                                                    |
|---------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| Trust                                                                                       | The Hale Family Settlement, Jersey - foreign non-grantor trust; U.S. agent appointed (Hollis & Crane LLP) |
| Line 24 - cash distribution 10/06/2025                                                      | \$120,000                                                                                                 |
| Lines 31-33 - Foreign Nongrantor Trust Beneficiary Statement received; ACTUAL method        | DNI \$85,000 (interest 15,000; qualified dividends 40,000; net LTCG 30,000); corpus \$35,000              |
| Accumulation distribution / Form 4970 / interest charge                                     | None - undistributed net income \$0 (no throwback)                                                        |
| Due / filing                                                                                | Due 10/15/2026 (with the extended 1040); paper only - mailed separately to IRS Ogden (certified mail)     |
| Penalty if not filed                                                                        | Greater of \$10,000 or 35% of the distribution (IRC 6677) - i.e. \$42,000                                 |